

Research Highlights

- Formulates state-robust portfolio selection over a continuous family of kernel-weighted conditional return distributions.
- Solves a finite grid-restricted approximation using adaptive constraint generation, achieving a $\sim 20\times$ speedup on representative windows while retaining an average of 3.66 active states out of 441.
- Provides a continuous-optimality error bound and a posteriori verification, establishing that the finite grid supremum matches the continuous supremum to 10^{-4} precision.
- Reports competitive long-run wealth, though studentized bootstrap inference shows no statistically significant Sharpe-ratio advantage over standard benchmarks.
- Ensures full transparency with an open-source, reproducible codebase under an MIT License.